

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-23

SAMSUNG ELECTRONICS

AMERICA, INC.,

COMPLAINANT,

v.

HMM CO., LTD. F/K/A HYUNDAI MERCHANT MARINE CO., LTD

RESPONDENT.

**COMPLAINANT SAMSUNG'S OPPOSITION TO RESPONDENT'S
MOTION FOR PARTIAL SUMMARY JUDGMENT**

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HMM Co., Ltd.’s (“HMM”) Motion for Partial Summary Judgment Regarding Shipments Not in U.S.-Foreign Trade (Dkt. 64) (“Motion”) fails and should be denied for multiple reasons.

First, HMM fails to satisfy its initial burden to prove that there is no genuine issue of material fact in dispute with respect to whether HMM qualifies as a “common carrier” for the transportation of the containers identified in Exhibit B to HMM’s Statement of Undisputed Material Facts (Dkt. 65) (the “Subject Shipments”). Under the Federal Maritime Commission’s (“FMC” or “Commission”) definition of a common carrier at 46 U.S.C. § 40102(7)(A)(iii), the relevant inquiry is whether the carrier used, “for *all or part* of that transportation, a vessel operating . . . between a port in the United States and a port in a foreign country.” (emphasis added). HMM provides no evidence, makes no argument, and does not attempt to show there is an absence of dispute as to the material facts concerning whether the vessels it used to perform “part of that transportation” were operating between a foreign port and a port in the United States. Accordingly, the Motion should be denied without any further showing from SEA.

Second, HMM cannot satisfy its burden to show the absence of material facts in dispute on common carrier status because substantial evidence in the record shows that HMM was in fact acting as a common carrier with respect to the Subject Shipments, including that the vessels HMM used for part of the transportation were operating between foreign ports and ports in the U.S. As shown in SEA’s Statement of Additional Material Facts, even the currently incomplete factual record establishes that part of the transportation of the Subject Shipments was performed by vessels operating between foreign and U.S. ports.

Third, HMM cites no precedent that the FMC lacks jurisdiction for shipments where part of the transportation of the cargo was on vessels operating between foreign and U.S. ports. Instead, HMM attempts to improperly extend the holding in a recent initial decision, *TZ SSE Buyer, LLC*

v. COSCO Shipping Lines Co., Ltd. (and prior decisions on common carrier jurisdiction, in *Austasia Intermodal Lines, Ltd. v. Federal Maritime Commission*, and *Transpacific Westbound Rate Agreement v. Federal Maritime Commission*), well beyond their facts and legal principles.¹ Section 40102(7)(A)(iii) does not ask if the cargo was loaded or discharged from a vessel at a U.S. port, and it does not say that the containers must be transported on the vessel during the U.S.-foreign port segment. Section 40102(7)(A)(iii) asks if the vessels HMM used for any part of the transportation operated between a foreign port and a U.S. port. Each of *TZ SSE Buyer*, *Austasia*, and *Transpacific* addresses Section 40102(7)(A)(iii) in circumstances where the operation of the vessels at issue was *exclusively* between foreign ports. None support HMM’s conclusory argument that the location of cargo discharge is dispositive for common carrier status under Section 40102(7)(A). While *TZ SSE Buyer* involved discharge of containers in Canada, the decision is plainly not dispositive on the operation of the vessels here. 2024 WL 4563531 at *2. As the court in *Austasia* explained, “the [common carrier] definition clearly requires that a carrier make use of a United States port *at some point* on its own route or a through route in which it participates.” 580 F.2d at 646 (emphasis added). At a minimum, the operation of the vessels using a U.S. port “at some point on its own route” is a genuine issue of material fact overlooked in HMM’s Motion. *Id.*

Fourth, HMM’s narrow (and mistaken) interpretation of Section 40102(7)(A)(iii) ignores the Commission’s “totality of the circumstances” analysis of common carrier jurisdiction under Section 40102(7)(A) as a whole. As discussed below, not only are the first two of the three elements of Section 40102(7)(A) clearly satisfied, but the facts here also raise key issues that are

¹ *TZ SSE Buyer, LLC v. COSCO Shipping Lines Co., Ltd.*, Dkt. No. 24-09, 2024 WL 4563531, (ALJ June 2, 2025) (Order Granting Respondent’s Motion for Partial Summary Judgment and Denying Complainant’s Motion for Leave to File a Surreply); *Austasia Intermodal Lines, Ltd. v. Federal Maritime Com’n*, 580 F.2d 642 (D.C. Cir. 1978); *Transpacific Westbound Rate Agreement v. Federal Maritime Com’n*, 951 F.2d 950 (1991).

not fully developed in the record or the Motion, and that bear on the Commission's case-by-case and fact-intensive analysis of common carrier status. Nor, in any event, would summary judgment serve a purpose to avoid unnecessary hearing or trial, because the violations of the Shipping Act alleged in SEA's complaint are applicable generally, and SEA must still prove those violations whether shipments routed through Canada are included in SEA's reparations claims or not. Summary judgment on the exceptionally narrow (and mistaken) basis asserted by HMM would be inappropriate and premature.

Finally, HMM's improper attempt to extend precedent on common carrier jurisdiction would have serious negative consequences for the Commission's regulation of intermodal transportation. Under HMM's interpretation, a carrier offering door-to-door service to the United States could easily avoid complying with the Shipping Act for inland transportation violations by merely rerouting cargo to nearby foreign ports. That phenomenon is already an issue with rerouting cargos to avoid the Harbor Maintenance Tax. Creating a new loophole for deregulation of foreign ocean carrier conduct in U.S. inland transportation is not the law and would be fundamentally inconsistent with the efforts of Congress and the Commission to regulate foreign ocean carrier practices in the U.S. supply chain more closely.

Because HMM has failed to carry its burden of proving that there is no genuine dispute of material fact, and for the other reasons discussed below, summary judgment should be denied.

I. APPLICABLE LAW

"The Commission applies the federal summary judgment standard (Fed. R. Civ. P. 56) in deciding parties' motions for summary decision." *Intermodal Motor Carriers Conf. v. OCEMA*, Dkt. No. 20-14, 2024 WL 641501, at *9 (FMC Feb. 13, 2024). Under Federal Rule of Civil Procedure ("FRCP") 56, summary judgment is only appropriate when "there is no genuine dispute

as to any material fact and the movant is entitled to judgment as a matter of law.” FRCP 56(a).

The moving party bears the burden of showing that there is no genuine issue as to any material fact, and absent that showing, the Commission denies the Motion even if the non-moving party offers no contrary evidence. *EuroUSA Shipping Inc., Tober Group, Inc. and Container Innovations, Inc – Possible Violations of Section 10 of the Shipping Act*, Dkt. No. 06-06, 2008 WL 7149852, at *5 (FMC Dec. 18, 2008) (citations omitted). At this stage, the Presiding Officer does not weigh the evidence or resolve disputed facts but decides only whether there is a genuine issue for trial. *Kobel v. Hapag-Lloyd AG, et. al.*, Dkt. No. 10-06, 2011 WL 7144010, at *2 (ALJ Dec. 21, 2011) (Order on Dispositive Motions) (citation omitted). The Presiding Officer must view the underlying facts, and every inference drawn from them, in the light most favorable to the non-moving party. *Id.* Any doubt as to the existence of a genuine issue of material fact cuts against the movant. 10A WRIGHT, MILLER & KANE, FED. PRAC. & PROC. § 2727 (4th ed. 2026).

The Presiding Officer must also act with caution in granting summary judgment. *Anderson v. Liberty Lobby*, 477 U.S. 242, 255 (1986). “Even if summary judgment is technically proper, sound judicial policy and the proper exercise of judicial discretion permit denial of such a motion for the case to be developed fully at trial.” *S.P.F. Logistics, Inc. v. Hapag-Lloyd AG*, Dkt. No. 24-24, 2025 WL 1372304, at *3 (ALJ May 8, 2025) (Order Denying Respondent’s Motion for Summary Judgment) (citations omitted); *see also* FRCP 56 advisory committee notes on 2007 amendments (“although there is no discretion to enter summary judgment when there is a genuine issue as to any material fact, there is discretion to deny summary judgment when it appears that there is no genuine issue as to any material fact”). Summary judgment “is properly and wholesomely invoked when it eliminates a useless trial but, of course, not when it would cut off a litigant from his right to have a [factfinder] resolve a factual issue bearing significantly on the

outcome of the litigation.” *Kin Bridge Express Inc. and Kin Bridge Express (U.S.A.) Inc. – Possible Violations of Sections 8, 10(a)(1), 10(b)(1) and 23 of the Shipping Act of 1984*, Dkt. No. 98-08, 1998 WL 940851, at *4 (ALJ Dec. 1, 1998) (citing *Bloomgarden v. Coyer*, 479 F.2d 201, 206 (D.C. Cir. 1973)).

II. ARGUMENT

A. HMM’s Motion Fails to Meet Its Minimum Burden to Show That There Is No Genuine Issue as to Any Material Fact in Dispute

As the movant, HMM bears the burden of removing all doubt “as to the existence of a genuine issue of material fact.” *See supra*, Section 1. HMM fails to meet this burden. Under the third element of the Section 40102(7)(A) common-carrier definition, the material factual question is not where the Subject Shipments were discharged, but rather whether the vessels used for all or part of the transportation of the Subject Shipments called at a United States port. The language of Section 40102(7) is clear on its face. A common carrier is a person that:

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;
- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, ***a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.***

46 U.S.C. § 40102(7)(A)(i)-(iii) (emphasis added).

HMM assumes that discharge of containers in Canada is a necessarily dispositive fact under Section 40102(7)(A)(iii), but it is not. To prevail on summary judgment, HMM must demonstrate the absence of any genuine dispute regarding the facts that are *actually material* to the legal question. Here, that requires showing that the vessels transporting the Subject Shipments ***did not*** call at U.S. ports “for all or part” of their voyage. 46 U.S.C. § 40102(7)(A)(iii). To obtain summary

judgment, HMM bears the burden of demonstrating that no genuine dispute exists as to the facts of whether the vessels used to transport the Subject Shipments called at a United States port.

HMM fails to satisfy that burden. HMM offers no evidence or argument about whether part of the transportation of the Subject Shipments was on vessels operating between a foreign port and U.S. port. HMM provides evidence that the Subject Shipments were loaded on vessels at foreign ports, and that the containers were discharged by vessels at a Canadian port, but HMM provides no evidence (or argument) about whether the vessels it used to perform “part of that transportation” were operating between a foreign port and a port in the United States. Discharge of cargo at a foreign port *might be sufficient*, but only if the evidence established that the vessels HMM used *only* operated between foreign ports and Canada and did not operate between any U.S. ports. Because HMM makes no attempt to show the absence of dispute on this material fact, which is its initial burden, the inquiry should properly end here, and the Motion should be denied.

B. HMM Cannot Meet Its Burden Because There Are Genuine Issues of Material Fact in Dispute

HMM cannot make that showing because the evidence developed thus far contains substantial evidence that the Subject Shipments were transported aboard vessels that did, in fact, operate between foreign and U.S. ports. As HMM certainly knows, but failed to address in its Motion, the evidence shows that the vessels operated on common carrier routes calling at multiple ports, including U.S. ports. *See* SEA’s Statement of Additional Material Facts and accompanying exhibits. At a minimum, those facts show a genuine dispute as to whether the vessels carrying the Subject Shipments called at U.S. ports.² The Motion should be denied.

² Any doubt as to the existence of a genuine issue of material fact cuts against the movant. 10A WRIGHT, MILLER & KANE, FED. PRAC. & PROC. § 2727 (4th ed. 2026).

C. HMM's Purported Legal Authority Does Not Support Its Position; Rather, HMM Attempts to Improperly Extend Precedents Well Beyond Their Facts and Legal Principles

HMM cites no precedent holding that the FMC lacks jurisdiction where, as here, part of the transportation was performed by vessels operating between foreign and U.S. ports. Each of the authorities relied on by HMM involved transportation in which the relevant vessels operated *exclusively* between foreign ports, with no part of the transportation at issue using a vessel on a service calling at a U.S. port. Those cases therefore stand for the unremarkable proposition that the Shipping Act does not reach transportation wholly outside U.S.-foreign commerce. They do not establish, as HMM suggests, that the FMC is divested of jurisdiction over any shipment merely because the cargo was discharged in Canada. Indeed, their reasoning supports a finding of jurisdiction where, as here, the vessels made U.S. port calls on the same voyages on which they discharged the cargo in Canada.

HMM's Motion offers no meaningful analysis of the statutory language or of the limits of the authorities on which it relies. Instead, HMM asserts that *Austasia*, *Transpacific*, and *TZ SSE Buyer* are “directly on point.” Mot. at 9. Despite SEA explaining the limitations of those authorities (*see* Exh. E to Respondent HMM's Statement of Undisputed Material Facts), HMM chose to waive responding to the point in its Motion, doubling down on its conclusory view that the decisions are “dispositive” and stating that it “will not belabor this point.” Mot. at 9. HMM does not belabor the point—it fails to make it at all. Suffice it to say that HMM does not explain why cases involving vessels that never called at U.S. ports should control a materially different factual scenario in which the vessels did.

In *Austasia*, export cargo traveled overland from Detroit, Michigan, to a Canadian port and was then shipped aboard a vessel operating exclusively between foreign ports—from Canada to

Australia. 580 F.2d at 644. The Court of Appeals found that the Shipping Act did not supply the FMC with jurisdiction under the facts presented because “[the carriers] do not make use of United States ports *at any point in their service*, but instead ship property overland out of the United States and thereafter *exclusively* between foreign ports.” *Id.* (emphasis added). The court noted that the statute’s plain language defined a common carrier as “one that transports people or cargo By (sic) water between the United States and a foreign country; thus, by clear implication, a United States port is required *somewhere along the route*.” *Id.* (emphasis added). Thus, *Austasia* turned on the absence of any U.S. port call in the relevant carrier service. It did not hold that FMC jurisdiction disappears whenever cargo is discharged in Canada. The same is true of *Transpacific*. 951 F.2d. There, the court affirmed the Commission’s determination that it lacked jurisdiction over portions of shipping agreements governing transportation that was wholly foreign-to-foreign. 951 F.2d at 952-54.

Nor does *TZ SSE Buyer* compel a different result. 2025 WL 1675704. There, as with *Austasia* and *Transpacific*, there was no indication that the vessel discharging the containers at the Canadian port was otherwise engaged in U.S. trade or called at any U.S. ports during its voyages. That decision did not purport to address every permutation of a shipment discharged at a Canadian port, and plainly neither *TZ SSE Buyer* nor *Austasia* nor *Transpacific* purported to establish a rule of law that any shipment that touches a Canadian port divests the FMC of jurisdiction. As such, these cases cited by HMM are not determinative of the threshold jurisdictional question arising from the Subject Shipments.

Far from supporting HMM’s position, principles outlined in *Austasia* and *Transpacific* support the existence of a genuine issue of material fact in dispute in this matter on common carrier jurisdiction. Applying the statutory definition of a common carrier to the facts, the court in

Austasia explained that “the definition clearly requires that a carrier make use of a United States port *at some point* on its own route or a through route in which it participates.” *Id.* at 646 (emphasis added). Jurisdiction over a vessel that calls at U.S. ports “at some point” on its route, however, has been addressed in other FMC precedent. In *American Association of Cruise Passengers v. Carnival Cruise Lines, Inc.*, the D.C. District Court found that cruise lines that operate “world cruises” were common carriers within the meaning of the Shipping Act and were therefore subject to its prohibitions. No. 86-0571, 1995 WL 125842, at *2-*4 (D.D.C. 1995). The court held that these cruises were subject to the Shipping Act because they “clearly did not travel only between foreign ports, . . . as they all departed from or returned to United States ports, and often made stops at United States ports during the duration of the cruise.” *Id.* at *2 (internal quotation omitted).

In sum, HMM attempts to rely on decisions premised on exclusively foreign-to-foreign vessel transportation and ignores both the statutory plain language of 46 U.S.C. § 40102(7)(A) and precedents that highlight the importance of transportation on vessels operating between foreign and U.S. ports. The decisions HMM relies on are not dispositive or exhaustive of the issues involved here, and HMM’s attempt to extend those decisions should be rejected and the Motion denied.

D. HMM’s Motion Should Also Be Denied Because It Ignores the FMC’s Common Carrier “Totality of the Circumstances” Analysis

HMM’s Motion hinges exclusively on one factor in 46 U.S.C. § 40102(7)(A), ignoring the other two factors and the FMC’s “totality of the circumstances” analysis of common carrier jurisdiction. HMM’s omission should foreclose summary judgment. As stated above, a common carrier is a person that:

- (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation;

- (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and
- (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(7)(A)(i)-(iii).

FMC precedent makes clear that “no single factor of an entity’s operation is determinative of its status as a common carrier.” *Earlean Edwards Dukart v. Ocean Star International Inc., D/B/A International Van Lines*, Dkt. No. 20-30, 2020 WL 3994385, at *7 (ALJ July 10, 2020) (citations omitted). Instead, “the Commission must evaluate the indicia of common carriage on a case-by-case basis.” *Id.* When assessing common carrier status, the Commission considers the totality of the circumstances and “their combined effect.” *Activities, Tariff Filing Practices and Carrier Status of Containerships, Inc.*, 9 F.M.C. 56, 65-66 (FMC 1965) (“it is important to consider all the factors present in each case and to determine their combined effect” and to “look beyond documentary labels”).

The FMC’s case-by-case, fact-intensive inquiry involves genuine issues of material fact not addressed in HMM’s Motion. As to the first element, Commission precedent directs that “[t]he most essential factor [when evaluating common carrier status] is whether the carrier holds himself out to accept goods from whomever offered to the extent of his ability to carry.” *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, Dkt. No. 96-06, 1999 WL 125991, at *20 (FMC Feb. 3, 1999). There is no question that HMM holds out to the general public by maintaining tariffs, advertisement, and solicitation for the transportation between the U.S. and a foreign country. *See Worldwide Relocations, Inc. et. al.* Dkt. No. 06-01, 2012 WL 11914713, at *6 (FMC Mar. 15, 2012) (an entity may hold out to the public “by the establishment and maintenance of tariffs, by advertisement and solicitation, and otherwise.”) (internal citations omitted). As to the second element, HMM “assumed responsibility for the transportation from the port or point of receipt to

the port or point of destination” as evidenced by issuing door bills of lading for the Subject Shipments. 46 U.S.C. § 40102(7)(A)(ii); *see Crocus Investments, LLC and Crocus, FZE v. Marine Transp. Logistics, Inc., et. al.*, Dkt. No. 15-04, 2020 WL 7633362, at *15 (ALJ Dec. 9, 2020) (Initial Decision on Remand). Under the third element, even setting aside HMM’s failure to show an absence of a dispute of material facts regarding the operation of the vessels, other material facts that have been considered by the FMC are also not addressed in the Motion or in the incomplete record to date, including:

- The intention of the parties as to the final destination of the cargo. *See Crocus*, 2020 WL 7633362, at *16 (finding that Marine Transport Logistics was acting as a common carrier with respect to the shipment of a Formula boat that was never actually transported by water between ports because both parties intended to transport the cargo from Dubai to the U.S.).
- The extent to which the alleged conduct bears a “nexus within international shipping.” *S.P.F. Logistics, Inc. v. Hapag-Lloyd AG*, 2025 WL 1372304, at *10-*11 (holding that charging detention fees for the late return of containers transported under merchant haulage terms bore a sufficient nexus to international shipping to support a finding of common carrier status).

When these factors are properly considered within the totality of the circumstances framework, there is a genuine issue of material fact in dispute as to whether HMM was acting as a common carrier with respect to the Subject Shipments. The evidence developed thus far (through available bills of lading and contemporaneous emails) indicates that, despite the discharge in Vancouver, the Subject Shipments were always bound for U.S. markets. The record further establishes a clear nexus to international shipping: the Subject Shipments originated at foreign ports destined for the U.S. market, were transported under through bills of lading to final U.S.

destinations, and were consigned to Samsung Electronics America, Inc., a U.S.-based entity. They were carried aboard vessels engaged in U.S.-foreign commerce, which called at U.S. ports, and carried goods intended to serve American consumers. HMM's attempt to defeat FMC jurisdiction based solely on the fact that the containers were offloaded at Canadian ports ignores these facts. Considering the three jurisdictional elements collectively, as the totality of the circumstances analysis requires, the weight of the evidence demonstrates that HMM acted as a common carrier within the meaning of the Shipping Act with respect to the Subject Shipments. HMM's omission of both this analysis, and the related material facts necessary to perform it, is yet another reason it fails to meet the burden necessary for summary judgment.

E. HMM's Motion Is Improper for Summary Judgment Because It Raises Important, Fact-Dependent Questions, Prematurely Targets Reparations Issues, and Would Not Meaningfully Narrow The Issues to Be Decided on the Merits.

In addition to HMM's failure to meet its burden and its faulty jurisdictional theory, the Motion asks the Presiding Officer to decide important, fact-bound questions on an incomplete record and to excise a subset of potential reparations before liability, causation, and damages have been decided or even fully developed. This is an improper use of summary judgment. HMM's requested ruling would not resolve any element of SEA's Shipping Act liability claims and would not reduce the Presiding Officer's future burden to determine HMM's systemic practices and the reparations resulting from those practices.

i. HMM Asks the Presiding Officer to Decide Important, Fact-Dependent Questions on an Incomplete Record

HMM's Motion raises important, material legal and factual issues that warrant resolution upon a full record, not summary judgment. It is well-established Supreme Court precedent that judicial and administrative tribunals should exercise restraint and not short-circuit important legal determinations before the record is fully developed, particularly where the policy implications are

significant and have the potential to affect future claims. *See Kennedy v. Silas Mason Co.*, 334 U.S. 249 (1948) (vacating summary judgment). “Summary procedures, however salutary where issues are clear-cut and simple, present a treacherous record for deciding issues of far-flung import, on which this Court should draw inferences with caution from complicated courses of legislation, contracting and practice.” *Id.* at 256-57. The D.C. Circuit applied that very principle in *Dearth v. Lynch*, 791 F.3d 32 (D.C. Cir. 2015), where it vacated a grant of summary judgment and remanded for trial, holding that “courts retain discretion to refuse to decide cases on the basis of a record developed on summary judgment” when the case “raises an ‘extremely important question.’” *Id.* at 33–34 (quoting *Kennedy* and remanding for fuller factual development). Courts further decline to grant summary judgment without full development of the factual record when the legal question at issue is heavily fact dependent. *See Hamilton v. Accu-Tek*, 935 F. Supp. 1307, 1326 (E.D.N.Y. 1996) (citations omitted).

HMM advances a novel interpretation of Section 40102(7) that attempts to make a container’s point of discharge dispositive in foreclosing Shipping Act jurisdiction over one of the world’s largest ocean common carriers, transporting intermodal cargo into the United States, to avoid liability for violations of the Shipping Act occurring in the United States amounting to approximately \$5.7 million in damages. The consequences of such a ruling would extend beyond this case. HMM’s theory would reduce protections for U.S. shippers, encourage carriers to attempt to avoid FMC regulation by discharging cargo through foreign ports, limit the ability of shippers to challenge unreasonable charges, and impair the FMC’s ability to regulate carrier conduct in the United States when that conduct follows discharge abroad.

The need for a full record is especially acute because the common-carrier inquiry before the FMC is fact intensive and turns on “reasonable evidentiary inferences” consistent with the

“strong public policy interest in protecting consumers and the shipping public.” *Worldwide Relocations*, 2012 WL 11914713, at *7-8. Where facts are inextricably intertwined with the merits of the case, Presiding Officers have opted to proceed with discovery in the interest of presenting a fulsome record. *ICL USA, Inc. v. Dependable Highway Express*, Dkt. No. 24-04, 2024 WL 1236823 (ALJ Mar. 15, 2024). Here, the jurisdictional question HMM asks the Presiding Officer to resolve is intertwined with facts that HMM ignored, that remain disputed, and that have not yet been fully developed. On the scant factual record provided by HMM, the Presiding Officer should follow the Commission’s and the courts’ consistent practice of allowing the relevant facts to be developed before resolving an important legal question about the FMC’s jurisdictional reach.

ii. HMM’s Motion Targets Unripe Reparations Issues, Not Elements of SEA’s Liability Claims

HMM’s Motion is further improper for summary judgment because, stripped of its jurisdictional label, it challenges only a subset of potential reparations, not any element of SEA’s Shipping Act liability claims. HMM seeks judgment “dismissing the VAC claims with respect to those shipments that were discharged in Canada.” Mot. at 1. But SEA’s claims are not predicated on the Subject Shipments or any other shipment category.³ They are predicated on HMM’s systemic practices while acting as a “common carrier” and “ocean common carrier” within the meaning of 46 U.S.C. §§ 40102(7) and (18). Verified Amended Complaint (Dkt. 17) at ¶¶ 3, 5.

³ SEA’s Complaint alleges that HMM violated the Shipping Act in multiple respects, as set forth in six counts: Count I: Violations of 46 U.S.C. § 41102(c) (unreasonable practices); Count II: Violations of 46 U.S.C. § 41104(a)(3) and 46 U.S.C. § 41102(d) (retaliation); Count III: Violations of 46 U.S.C. § 41104(a)(10) (refusal to deal); Count IV: 46 U.S.C. § 41104(a)(15) (non-compliant invoicing); Count V: Violations of 46 U.S.C. § 41104(a)(14) (unreasonable charges); and Count VI: Violations of 46 U.S.C. § 41102(c) (unjust and unreasonable dispute resolution practices).

SEA will still establish HMM's violations of the Shipping Act regardless of the number of charges it submits for proof of reparations.

As a practical matter, HMM seeks to prematurely carve out a damages category before SEA has framed its reparations case and before discovery and expert analysis have supplied the necessary record. SEA did not tether its Complaint to individual charges, and the Complaint's only reference to specific charges alleges that SEA "paid over 96,000 demurrage, detention, and associated charges." *Id.* at ¶ 29. The number of charges that ultimately support reparations is a matter for discovery and expert damages analysis, not summary judgment. HMM, as the carrier, possesses the records needed to reconstruct the charges shipment-by-shipment, and only completed fact and expert discovery will allow SEA to present that analysis to the Presiding Officer. HMM still has not produced basic shipping documents—sea waybills, work orders, and invoices—for many charges on which SEA may seek reparations,⁴ even though those documents "are foundational for addressing the detention and demurrage charges assessed against SEA." SEA Motion to Compel (Dkt. 52), Exh. A at 72. HMM cannot withhold the very documents SEA needs for its damages analysis and simultaneously demand summary judgment on a subset of potential reparations.

HMM's reliance on the Charge Data Spreadsheet does not cure the defect. SEA produced the spreadsheet in response to HMM's first interrogatories and requests for production, and it

⁴ On March 9, 2026, SEA provided HMM with an updated Source Document Tracker identifying the shipments at issue for which those foundational documents were still missing. *See* SEA Motion to Compel (Dkt. 52), Exh. A at 72. HMM responded on April 2, 2026, that it would "conduct a reasonable search for additional materials as described and produce same to the extent they exist and are not subject to any privilege designation." *Id.* at 82. To date, no additional source documents have been produced. As a result, for many of the shipments at issue in this matter, HMM has not produced a single sea waybill, work order, or invoice.

remains subject to SEA's express objections in that response.⁵ More narrowly, HMM's Interrogatory No. 16 asked SEA to "[d]escribe the bill of lading numbers, invoice numbers, container numbers and amounts claimed by SEA for each Subject Shipment." Complainant's Resp. & Objs. to Resp't's Second Set of Interrogs. & Reqs. for Produc. at 5. SEA identified the spreadsheet (SEA_HMM-276133) as a "summary" and expressly cautioned that "[i]t will be the burden of HMM to provide this very information on an each-container basis as it was HMM's carriage of SEA cargo for which these charges were incurred." *Id.* at 5-6. HMM cannot convert SEA's qualified summary, which SEA has always maintained requires development following full discovery, into an evidentiary admission supporting judgment as a matter of law.

As a result, HMM's Motion would not "eliminate[] a useless trial," but it would "cut off a litigant from his right to have a [factfinder] resolve a factual issue bearing significantly on the outcome of the litigation." *See Kin Bridge Express*, 1998 WL 940851, at *4 (citing *Bloomgarden v. Coyer*, 479 F.2d 201, 206 (D.C. Cir. 1973)).

Federal summary judgment doctrine developed under FRCP 56 further confirms that HMM's approach is improper. In *Sartor v. Arkansas Natural Gas Corp.*, 321 U.S. 620 (1944), the Supreme Court reversed summary judgment turning on damages questions and emphasized that FRCP 56(c) reserves "the amount of damages" from the summary judgment process. *Id.* at 623-24. The Court further held that any summary judgment on damages must rest on evidence "which a jury would not be at liberty to disbelieve and which would require a directed verdict for the moving party." *Id.* at 624. HMM cannot satisfy that standard on a disputed, undeveloped record.

⁵ "Neither the provision of an answer nor the production of documents will constitute...an admission, agreement, or acceptance by SEA of the relevance, admissibility, or any other status of any document or information provided in response." Complainant's Resp. & Objs. to Resp't's First Set of Interrogs. & First Req. for Produc. at 4; see also Complainant's Resp. & Objs. to Resp't's Second Set of Interrogs. & Reqs. for Produc. at 2 (repeating the objection).

Courts applying *Sartor* have enforced the same rule. In *Hudson Technologies, Inc. v. RGAS, LLC*, 716 F. Supp. 3d 327 (S.D.N.Y. 2024), the court denied summary judgment seeking to eliminate a damages category, because “it is axiomatic that summary judgment as to damages can only follow a determination that damages are in fact owed (i.e., that the defendant is actually liable for damages).” *Id.* at 338 (internal quotations omitted).⁶ Likewise, the D.C. District Court rejected a summary judgment for remedy because it put the “cart before the horse.” *Philip Morris*, 319 F. Supp. 2d at 12.

The Shipping Act reflects the same sequence. A complainant first alleges a violation of the Act and, if timely filed, may seek reparations for injury caused by that violation. 46 U.S.C. § 41301. Reparations therefore follow the predicate violation; they do not displace it. FMC precedent reflects that sequencing as well—in *Samsung Electronics America, Inc. v. SM Line Corp.*, Dkt. No. 23-01, 2025 WL 2231637 (ALJ May 28, 2025), the Presiding Officer first found liability for Shipping Act violations and then separately analyzed reparations, holding that reparations required a container-by-container analysis. HMM reverses that order by asking the Presiding Officer to decide a portion of the reparations case before liability, causation, and the damages record have been established.

⁶ See also *Gaffney v. Muhammad Ali Enterprises LLC*, 2022 WL 4095953, at *1 n.4 (S.D.N.Y. Sept. 7, 2022) (holding that “[i]t is extremely speculative to bar Plaintiffs from obtaining actual damages prior to a determination of whether and how Defendant is liable”); *United States v. Philip Morris USA, Inc.*, 319 F. Supp. 2d 9, *12 (D.D.C. 2004) (refusing to grant summary judgment directed solely at the availability of a remedy, holding that “[w]ithout the requisite predicate finding of . . . liability, it would be premature for the Court to consider whether summary judgment should be granted because [statutory] remedies may not be available.”).

F. HMM's Interpretation Creates Jurisdictional Loopholes That Undermine the Shipping Act's Purpose.

Under HMM's interpretation of common carrier jurisdiction over intermodal cargo, only purely point-to-point shipping—whereby a vessel travels from a single foreign port directly to a single U.S. port (or the reverse)—would be subject to the Shipping Act. Multi-port-call voyages, which are a common arrangement in maritime transportation, would float in and out of the Shipping Act's jurisdiction depending on the sequence in which containers were discharged at intervening ports. For example, an ocean carrier transporting intermodal containers from China, by water, for ultimate delivery by rail to Chicago using the same vessel, on the same voyage, carrying the same types of containers for delivery to Chicago, would be subject to the Shipping Act with respect to containers discharged at the port of Los Angeles but exempt from the Shipping Act with respect to containers discharged at the port of Vancouver one week earlier.

Foreign ocean carriers engaging in “port shopping” to avoid U.S. law is already a concern. Executive Order 14269, “Restoring America's Maritime Dominance” (April 9, 2025) (“E.O. 14269”), directed corrective action to address common carriers' ability to circumvent the Harbor Maintenance Tax on imported goods by routing cargo through Canada or Mexico. The Executive Order recognizes carriers have economic incentives to divert cargo from U.S. ports, and such diversion undermines both the competitiveness of U.S. maritime infrastructure and the regulatory framework that protects American shippers.⁷ FMC Commissioners have also sounded the alarm about this conduct.⁸ The very practice with which the Administration and the Commission are

⁷ Consistent with E.O. 14269, the Administration's America's Maritime Action Plan (“MAP”) calls for the establishment of a “Land Port Maintenance Tax” to address the “diversion of cargo from U.S. ports of entry by leveling the playing field between land ports and seaports.” MAP at 16.

⁸ In their January 21, 2026 Statement, Commissioners Max Vekich and Laura DiBella underscored the importance of ensuring that carriers cannot evade their regulatory obligations by exploiting the

concerned—carriers routing U.S.-bound cargo through Canadian ports—is the practice that HMM improperly seeks to place beyond the FMC’s jurisdiction.

III. CONCLUSION

For the foregoing reasons, SEA respectfully requests that the Presiding Officer deny HMM’s Motion.

Respectfully Submitted,

Dated: July 6, 2026

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geographic proximity of Canadian and Mexican ports. Statement of Commissioners Max Vekich and Laura DiBella on Closing the Harbor Maintenance Tax Land-Border Loophole (Jan. 21, 2026), <https://www.fmc.gov/ftdo/statement-of-commissioners-max-vekich-and-laura-dibella-on-closing-the-harbor-maintenance-tax-land-border-loophole/> (last accessed June 28, 2026).

CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached Opposition to HMM's Partial Motion for Summary Judgment, SEA's Additional Statement of Material Facts, and SEA's Responses to HMM's Statement of Material Facts on counsel at the following email addresses:

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